

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MUHAMMAD RANA, *Complainant*

v.

MICHELLE FRANKLIN, D.B.A. "THE RIGHT MOVE" INC.,
Respondent.

DOCKET NO. 19-03

Served: February 6, 2020

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING COMPLAINANT'S MOTION FOR FINDING OF FACTS AND DEFAULT DECISION

On January 6, 2020, an Order was issued granting Complainant's second motion to compel and requiring Respondent to answer discovery by January 15, 2020. On January 15, 2020, Respondent filed a response to discovery providing limited information and declining to provide further details for information she deemed "irrelevant." On January 21, 2020, Complainant filed a final status report stating that settlement had reached an impasse and that discovery was not complete.

On January 23, 2020, Complainant filed a motion seeking a finding of facts as a discovery sanction and moving for default decision ("Motion"). A previous motion seeking a default decision was denied on October 30, 2019. On January 23, 2020, Respondent filed a response to the motion and later that day a corrected response ("Response").

Complainant requests a finding of facts and default decision because Respondent's discovery responses are incomplete. Complainant is correct that Respondent failed to answer discovery completely. However, Respondent did file an answer as required in the January 6, 2020, order and filed a response addressing the findings of fact proposed by Complainant. Therefore, Respondent has not failed to respond or participate in the proceeding. This second motion for default decision is therefore **DENIED**.

Respondent refuses to answer questions that she believes are not relevant thereby denying Complainant discovery that is relevant and necessary to pursue his claim. Of Complainant's 17 document requests, it does not appear that Respondent provided any documents. She did respond to two of the requests, indicating that no documents exist for document request 12 ("No partnership agreements available") and document request 16 ("None exist" regarding whether there are any complaints, lawsuits, litigation or civil actions against Respondents where a violation of section 41102(c) was alleged."). For the interrogatories, Complainant responded to only three of the thirteen questions, including interrogatories 1 (who answered), 12 (amount of bond), and 13 (a partial answer to why the OTI bond was revoked).

Respondent was ordered to provide the requested discovery and warned that “[f]ailure to do so may lead to a finding that the answers would have supported Complainant’s allegations and may lead to a default decision.” January 6, 2020, Order at 1. It is therefore appropriate to find that Respondent’s failure to provide documents and answer interrogatories leads to an inference that those responses would have been adverse to her interests. It is noted, in addition, that Respondent repeatedly admits her failure to pay the ocean freight although she denies that there are any other Shipping Act violations.

The discovery period closed on January 22, 2020. To ensure timely disposition of this matter, no additional discovery requests or motions will be permitted. The parties should now focus on making their legal arguments through their briefs.

Complainant proposed findings of fact in his motion. Respondent directly responded to the facts alleged by the Complainant in his motion, although many of the responses are incomplete. The proposed findings of fact are not directly related to the discovery questions and will not be adopted as a discovery sanction. Accordingly, the motion for finding of facts is **DENIED**.

However, the proposed facts and responses are relevant to the next stage of the proceeding. The proposed findings of fact and Respondent’s responses may be treated as proposed findings of fact and responses that would usually be found in a party’s brief and opposition.

The schedule will be revised to permit the parties to file briefs with arguments regarding how these facts, and any other facts alleged, apply to sections 41102(a) and 41102(c) of the Shipping Act. In their briefs, the parties should address the elements outlined in 46 C.F.R. § 545.4 and 46 U.S.C. §§ 41102(a) and 41102(c). Both parties should also discuss the status of the bond and whether Complainant has made a claim against Respondent’s bond. Complainant has the burden of proof on all of the elements and a decision cannot be rendered in his favor unless he has sufficient evidence to support each element.

The parties must file an appendix with their briefs. The appendix should include documents which support their claim (such as bills of lading, emails, etc.). Both parties are also required to include in their appendix all court filings in the case of *Sameer v. The Right Move*, which is discussed in both the motion and response, as well as any other formal findings or legal decisions regarding Respondents’ failure to pay charges for an ocean shipment.

The parties may settle at any time before the final decision is issued. The parties are encouraged to continue settlement discussions. However, the Commission expects this proceeding to be concluded by May 13, 2020. Therefore, the parties must follow the revised schedule below to ensure that there is sufficient time for a decision to be issued.

Settlement discussions are not admissible under Federal Rule of Evidence 408. This is, in part, because often in a settlement neither side obtains or pays what they believe is the correct amount. Settlements are compromises and external factors such as the likelihood of recovery, risk of an adverse ruling, and costs of continued litigation impact settlement offers. These are not the factors that a judge considers in ruling on the merits of the claim. Therefore, settlement offers are

not accurate measures of the value of a case and are generally not admissible. To the extent that settlement offers or actions have been mentioned in filings, those comments are stricken and not considered.

The parties must not provide any additional information about settlement offers or actions to the Office of Administrative Law Judges (“OALJ”). Any party wishing to obtain assistance with settlement should contact the Commission’s Office of Consumer Affairs and Dispute Resolution Services (“CADRS”). OALJ and CADRS do not communicate regarding cases.

The OALJ issues decisions based only on the record in the proceeding. *See* 5 U.S.C. § 556(e). If there is information available in a different office at the Commission that a party wants considered, it is the party’s obligation to provide that information.

The parties are hereby **ORDERED** to follow this revised schedule:

February 26, 2020	Complainant files brief and proposed findings of fact.
March 17, 2020	Respondent files opposition brief, responses to Complainant’s proposed findings of fact, and Respondent’s proposed findings of fact.
April 2, 2020	Complainant files reply brief and responses to Respondent’s proposed findings of fact.

The parties’ briefs, proposed findings of fact, responses to proposed findings of fact, and appendices shall be in the following forms:¹

1. **[Party’s] Brief.** Each party shall file a brief meeting the requirements of Commission Rule 214, 46 C.F.R. § 502.214, with the exception that the proposed findings of fact shall not count toward the page limit found in Rule 214(e). The parties should include all arguments relevant to their claim, including arguments that have been made previously.
2. **[Party’s] Proposed Findings of Fact.** This document shall set forth proposed findings of fact in numbered paragraphs. Each paragraph shall be limited as nearly as practicable to a single factual proposition. Each factual proposition shall be followed by a citation to a specific, unique page number in the appendix with the evidence that the party contends will support the proposed finding of fact.²

¹ Filings following this format in other cases may be found in the Commission’s Reading Room, available at www2.fmc.gov/readingroom.

² Parties must designate specific facts and provide the court with their location in the record. *Orr v. Bank of Am.*, 285 F.3d 764, 775 (9th Cir. 2002). “General references [to evidence] without page or line numbers are not sufficiently specific.” *S. Cal. Gas Co. v. City of Santa Ana*, 336 F.3d 885, 889 (9th Cir. 2003).

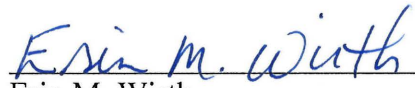
The party shall provide to each other party and to the Office of Administrative Law Judges an electronic copy of its proposed findings of fact with the hard copy of its proposed findings of fact. The electronic copy shall be in a word-processing format (e.g., Microsoft Word) and provided by disk, flash drive, or email.

The parties should include all proposed findings of facts relevant to their claim, including facts that have already been presented. If a fact is supported by the failure to respond to discovery, the discovery should be specifically identified.

3. **[Party's] Responses to [Party's] Proposed Findings of Fact.** This document shall set forth verbatim each proposed finding of fact in another party's proposed findings of fact, then admit or deny the proposed finding. Each proposed finding of fact that an opposing party denies shall be followed by an exact citation to evidence that the opposing party contends will rebut the evidence the proposing party claims supports the proposed finding of fact. The opposing party shall provide to the party and to the Office of Administrative Law Judges an electronic copy of the response to [party's] proposed findings of fact with the hard copies of the response to [party's] proposed findings of fact. The electronic copy shall be in a word-processing format (e.g., Microsoft Word) and provided by disk, flash drive, or email.
4. **[Party's] Appendix.** The evidence on which a party's proposed findings of fact or response to another party's proposed findings of fact is based shall be included in an appendix—a separate document that collects one copy of all documents relevant to the proceeding.
 - a. The cover of the appendix shall identify the party or parties that prepared the appendix;
 - b. Each page in the appendix shall be numbered sequentially, for example: Complainant Exhibit 1, Complainant Exhibit 2, or Respondent Exhibit 1, Respondent Exhibit 2, etc. The appendix should be secured in a three-ring binder;
 - c. The appendix must begin with a table of contents identifying the page at which each individual document begins;
 - d. Each party shall ensure that all documents in its appendix are legible and in English or include a verified translation as required by Rule 7 (*see* 502 C.F.R. § 502.7); and
 - e. The parties must cite to a document in an appendix already in the record rather than include the same document in its own appendix. For instance, if Respondent contends that a document included in Complainant's appendix rebuts the evidence Complainant claims supports a proposed finding of fact, Respondents shall cite to Complainant's appendix rather than include a second copy of the same document in its appendix.

5. **Service and Filing.** The parties are encouraged to serve and file hard copies of the documents required by this order by overnight delivery service.

The parties are directed to send the electronic copy in a word-processing format of required documents to the Office of Administrative Law Judges at the following email address: judges@fmc.gov with the other party copied. Word processing versions should not be submitted to the Office of the Secretary.



Erin M. Wirth
Chief Administrative Law Judge